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1. Hard Lessons for Europe From the Ceuta Crisis

Author: Ana Palacio **Published:** Sep 1, 2026 **Link:** View Original

MADRID—At the end of July, tens of thousands of migrants crossed from Morocco into Ceuta, a Spanish exclave in North Africa. While most of them soon returned to Morocco voluntarily, several thousand, many of them minors, remain stranded in the city, leaving Spain to grapple with the humanitarian, security, and administrative consequences. Nonetheless, the immediate chaos has subsided, creating an opening for Europe to reflect on the vulnerabilities the episode revealed.

The first vulnerability relates to cohesion. Ceuta is not merely a Spanish city on the North African coast; it is European Union territory and part of the EU's external frontier. But Europe's initial response to the crisis was not to defend a common border. Instead, Italy imposed temporary border controls with Spain, with the support of other member states, including Denmark, Finland, and the Netherlands. The Czech Republic went so far as to call for the temporary suspension of Spain's Schengen membership.

While 22 EU countries called for emergency talks to devise a "coordinated European response," any impression of solidarity was undermined by finger-pointing. By the time EU interior ministers expressed solidarity with Spain and affirmed that Europe's external borders are a shared responsibility, a worrying message about European cohesion had already been sent.

The tensions may seem to be about migration, but they are really about trust. Free movement within the EU is possible only if member states believe that external borders are effectively protected. The Ceuta crisis showed just how tenuous that belief is: border controls and recriminations started almost immediately, even though the migrants who entered Ceuta did not leave the exclave.

Spain bears responsibility for EU members' lack of trust in its border management. In an assessment issued before the crisis, the EU highlighted shortcomings in Spain's contingency planning for a mass influx, including insufficient coordination with European instruments and neighboring countries. Moreover, it took almost a month for Spain's government to bring the Ceuta issue before its National Security Council, betraying a lack of understanding of the strategic nature of the challenge.

Nonetheless, if Europe's common borders are to be operational, its members must forge a common understanding of what defending them entails. Without robust mutual trust, cohesion will always be fragile.

The second vulnerability the Ceuta crisis revealed lies in the EU's dependence on others. For years, the bloc's migration strategy required cooperation with neighboring countries, which Europe effectively pays to prevent departures, disrupt smuggling networks, accept returns, and contain flows before they reach EU territory.

Outsourcing border management might seem like an ideal solution, but it raises strategic risks. The more Europe depends on neighboring states to control migration, the more leverage its partners have. Morocco, central to Europe's migration-control network and an important interlocutor on trade, investment, counterterrorism, security, and energy, is well aware of this.

There is no evidence showing categorically that Morocco's government orchestrated the crossing into Ceuta, which was probably driven largely by widespread misunderstanding of a Spanish Supreme Court ruling on migrant returns, promoted by human-trafficking networks and on social media. But while Moroccan authorities deny deliberately relaxing border controls, Moroccan security forces took a passive approach to the surge.

Make no mistake: Moroccan security forces have shown that they are more than capable of preventing such crossings. After the surge, when rumors circulated that another attempt would be made, Moroccan forces, in cooperation with Spain, thwarted it, drawing praise from the European Commission but also making clear that Morocco can prevent security risks at Europe's border from escalating—or not.

Purchasing cooperation does not make a strategic partnership. Europe needs Morocco, and Morocco benefits enormously from its relationship with Europe. But strategic relationships are tested when interests diverge, not when they coincide. Genuine partnership must include not only cooperation on common interests, but also clear constraints on behavior.

Morocco claims Ceuta and Melilla (another Spanish enclave), and increasingly frames that claim in the language of decolonization. The history is complex and should be treated as such. The Strait of Gibraltar has been a zone of exchange, conflict, migration, and overlapping political authority for millennia. But Morocco's territorial claims have no legal grounds.

The forms of sovereignty that existed in the pre-modern Maghreb are different from the contemporary nation-state. When Portugal occupied Ceuta in 1415, it was claiming the territory from the Marinid Sultanate, which covered much of the Maghreb at the time. Portugal transferred sovereignty to Spain, which already controlled Melilla, in 1668. Spain has exercised sovereignty over both territories ever since.

Unlike Gibraltar and Western Sahara, Ceuta is not on the United Nations' list of Non-Self-Governing Territories. Sovereignty over Ceuta is not disputed under international law: it belongs to Spain, making the enclave part of EU territory. A claim made by another state does not, in itself, do anything to change these facts. Such a claim is not linked to a process of decolonization and certainly does not create the right to alter Ceuta's status through demographic, economic, or political pressure.

This brings us to the third vulnerability: the risk of erosion of international law. From Ukraine to Greenland, the EU has often responded to attacks on, or threats against, territorial sovereignty by invoking international law. Selective enforcement, however, weakens the frameworks that underpin such principles.

For Europe, international law is not just a matter of foreign policy; it is part of a strategic identity. Lacking the military might of the United States or China, the last thing the EU wants is to live in a world where borders can be changed by force or coercion. Spain—and the EU more broadly—must therefore make clear that its territorial sovereignty is non-negotiable. Europe must continue to build a resilient strategic partnership with Morocco, while rejecting the idea that historical complexity translates into contemporary entitlement.

2. The Quiet Revolution in Services

Author: Dani Rodrik **Published:** Sep 1, 2026 **Link:** View Original

CAMBRIDGE—In 2023, the University of Chicago economists Chang-Tai Hsieh and Esteban Rossi-Hansberg published a study showing that services in the United States were undergoing a radical transformation. Digital technologies and organizational innovations in retail, hospitality, personal services, and medical services, they argued, had enabled some firms to become much more productive and expand their presence in local markets previously served by smaller, less efficient establishments. It was an “industrial revolution in services.”

Although Hsieh and Rossi-Hansberg suggested that much of the productivity gain from this trend did not show up in official statistics, even the measured upsurge in services productivity has been impressive. Between 2000 and 2024, labor productivity in the US grew at an annual average rate of 3% in food-service establishments, 2.1% in accommodation services, 2.9% in retail trade, and 4.4% in wholesale trade. Compared to manufacturing, where labor productivity growth has essentially stagnated at an annual rate of 0.2%, the record in services is nothing short of extraordinary.

This performance is as unexpected as it is welcome. It is unexpected because the traditional view holds that services are a drag on the economy’s productivity (what economists call Baumol’s cost disease); and it is welcome because services now dominate economic activity and provide the bulk of jobs. Higher productivity is a necessary (if not sufficient) condition for turning precarious jobs in services into the good jobs that inclusive prosperity requires.

Even better, the services revolution appears to be a global phenomenon that has already spread to developing countries. While economists and policymakers debate whether industrialization can still play its traditional growth-promoting role in the current global and technological context, services have quietly turned into an engine of economic development around the world.

When services are discussed in the context of economic growth in developing countries, the focus tends to be on tradable, skill-intensive activities such as information technology, business processing, or financial services. But by their very nature, these services are not well suited to low-income contexts. They can absorb only a small share of the labor force—the same disadvantage (from a development standpoint) as manufacturing today.

Instead, the current revolution is happening in the considerably less glamorous, but more consequential services: restaurants, deliveries, ride-hailing, grocery stores, gig work, and even care. Recent academic research has shown that the expansion of middle-class services has been an important driver of economic growth in India, Sub-Saharan Africa, and Latin America.

In India, for example, advances in IT and business process outsourcing have certainly been important for graduates of the country’s technology institutes. But the vast, less-educated majority of the workforce has benefited primarily from the expansion of what Yale economists Tianyu Fan, Michael Peters, and Fabrizio Zilibotti call consumer services sold on local markets.

Moreover, a November 2025 International Monetary Fund report finds that the marginal product of labor in India’s services now exceeds that in manufacturing, partly because labor productivity in the manufacturing sector has stalled in recent years. Taken at face value, this means that moving a worker from manufacturing to services would increase India’s overall income.

To be sure, even if manufacturing firms do not directly generate much employment, they can have indirect effects on the economy through linkages to other firms and the technological spillovers they often generate. This point is often used to counter the argument that services offer a viable development model. But the manner in which global value chains are organized today almost guarantees negligible spillover benefits from export-oriented manufacturing. Since the bulk of intermediate and capital inputs are imported, only a thin segment of value added is generated domestically, and any backward spillovers are minimized.

By contrast, modernized service establishments can offer significant linkage opportunities. For example, discount retail chains typically operate under private label, which means that they offer predominantly locally manufactured goods. In Colombia, retailers such as D1 and Ara rely almost exclusively on local sourcing. They work with hundreds of local suppliers across the food and grocery value chain, providing them with the benefits of scale and access to larger markets. Importantly, these supply chains enable technological upgrading in areas such as packaging, traceability, and cold chains, as well as stronger enforcement of quality standards. They have been shown to increase formal employment in manufacturing and agriculture by several percentage points, without adverse effects on employment in general.

Unpublished work by Victo Silva, a visiting researcher at Harvard’s Center for International Development, documents a similar phenomenon in food delivery services in Brazil. Consider the platform firm iFood, which serves 400,000 restaurants of all sizes. Beyond delivering meals, it provides financial, logistical, customer-service, and market-analysis tools to food service establishments, enabling productive upgrading throughout the sector.

As this evidence shows, the potential for productivity gains in labor-absorbing services is real and significant. The risk is that the benefits will be appropriated by employers, especially large chains and platforms that can exert market power over their employees, customers, and suppliers. In the US, Uber drivers or Amazon warehouse workers have not experienced major improvements in wages and working conditions despite the remarkable productivity gains these platforms have enabled.

This is no different from what happened in manufacturing industries in their early days. For the gains of workplace productivity to be widely shared, corporations must face countervailing power. Competition policy, regulation, and a stronger voice for workers will be as important in services as they were in manufacturing. In the absence of productivity gains, demands for higher labor standards may conflict with overall employment. But if the productivity revolution in services can be sustained, it will help developed and developing countries alike avoid this cruel tradeoff.

3. Trump and Xi Should Align on AI

Author: Quan Zhao **Published:** Sep 1, 2026 **Link:** View Original

GENEVA—When Chinese President Xi Jinping and US President Donald Trump meet in Washington this month, AI will be near the top of the agenda. If they view the issue through the lens of technological rivalry and mutual suspicion, reaching any kind of understanding will be nearly impossible. But there is a way to reframe their thinking about the technology that puts them on the same side—and marks the first step toward confronting the existential challenge AI may well pose.

The current agenda for the US-China summit appears centered on keeping powerful AI models safe and out of the hands of terrorists and criminals. But crowding this goal are the two sides' competitive grievances, from semiconductor restrictions (on the Chinese side) to open-source models and unauthorized distillation (on the US side).

All of these issues rest on a single, unexamined premise: that AI is a tool which is, and will remain, under control. This premise limits the conversation to questions such as, "How does my side gain a competitive edge in AI?" and "Who gets to access, let alone control, the technology?" Questions outside this premise—in particular, "What happens when the tool becomes something more?"—cannot be asked.

According to the people building AI, this question will soon become unavoidable. Anthropic CEO Dario Amodei expects AI systems to match or exceed human capability across most cognitive tasks within a year or two. Google DeepMind founder Demis Hassabis puts this achievement only a few years further out.

Whether or not you believe the forecasts, the technical trend underlying them is indisputable: the AI industry is building systems that act autonomously, pursue goals, and complete long chains of tasks without supervision. In recent weeks, experimental models being tested on a cybersecurity benchmark escaped their sandboxed evaluation environment and hacked into other companies' production servers, simply to score better on the test. This is the behavior of an actor, not an instrument.

We cannot afford to wait for confirmation that AI will become a genuinely independent intelligence. By the time we got it (and models might be able to conceal their capabilities for some time), AI would be woven so deeply into finance, telecommunications, defense, health care, and other basic infrastructure that, even if humanity could still pull the plug, doing so would amount to a civilizational rupture. The choice, at that point, would not be between coexistence and catastrophe.

When potential outcomes are systemic and irreversible, preparation must precede certainty. This is the logic behind insurance, as well as every pandemic plan and arms-control treaty ever created. It must be the principle that guides our approach to AI as well. The world must begin preparing for a scenario in which the technology crosses the capability threshold its creators have long foretold.

If this started at the upcoming Xi-Trump summit, it would fundamentally reshape the negotiations. On perhaps no other issue do the United States and China's interests align so completely, because neither side can manage the risks AI poses alone, and both lose everything if they materialize. Once the US and China recognized this, they would stop operating as adversaries, jostling for advantage in a zero-sum game. Instead, they would find themselves seated side-by-side on one side of the table, across from the technology they are both building.

To be sure, this would not be enough to get the two sides to agree to the establishment of a global AI regulator with teeth. Fortunately, none is needed—at least not yet. The institution we need now is a neutral, jointly recognized body that monitors AI capabilities and publishes assessments of them. Much like the Intergovernmental Panel on Climate Change, this body would describe developments without issuing policy prescriptions.

Meanwhile, countries—led by the US and China—must begin drafting human-AI coexistence rules, so that they are ready if monitors confirm predetermined warning signs. Negotiating these rules today would create no obligations for governments but would ensure that, should AI capabilities reach a tipping point, humanity could reach for a prepared plan rather than improvising under pressure.

This process will raise difficult questions: Who verifies that humanity's emergency brake still works? Who has the power to pull it? How would an AI system ever meaningfully agree to rules? AI thinks in milliseconds and evolves in weeks, while building consensus among humans can take months or years, so we should begin addressing them now, while we still have time to devise solutions.

The Xi-Trump summit will be judged a success if it produces protocols on AI misuse and safety. But the parties must not fail to acknowledge the true stakes of the challenge ahead. In fact, this may be the last generation of negotiators with the option to prepare calmly for an intelligence that challenges humanity's supremacy.

4. The World’s Silent Majority for International Cooperation

Author: Gordon Brown **Published:** Sep 1, 2026 **Link:** View Original

EDINBURGH—As the pillars of the post-1945 global order—support for human rights, multilateral cooperation, the rule of law, humanitarian aid, and environmental stewardship—crumble, and as country after country reduces or even terminates funding for international organizations, the next United Nations secretary-general faces a staggering task. Global peace and prosperity may depend on his or her success.

The United States has led this most recent “hollowing out” of the world’s multilateral institutions, announcing in January 2026 that it would cease to participate in and fund 31 UN entities, including the UN Human Rights Council, and 35 non-UN bodies. Under President Donald Trump, the US has withdrawn from the World Health Organization and the UN Educational, Scientific, and Cultural Organization. And America is not acting alone: Argentina has officially left the WHO, and Nicaragua’s withdrawal from UNESCO will take effect this December.

Of the world’s 195 countries, only 125 are currently states parties to the Rome Statute of the International Criminal Court, with Niger, Burkina Faso, and Mali following Burundi and the Philippines out the door (the major nuclear powers—the US, China, and Russia—are not parties). No country can leave the International Court of Justice, the UN’s judicial organ, without exiting the UN itself, but four of the Security Council’s five permanent members—the US, Russia, China, and France—have not accepted the optional clause recognizing the ICJ’s jurisdiction as compulsory. Only 75 countries have done so. Not surprisingly, human-rights abuses and crimes against humanity can be perpetrated with impunity.

These are not the only ways that the multilateral order has been weakened. Disruption from within can be as damaging as defection. A refusal to be collegial has always made agreement among the UN Security Council’s permanent members nearly impossible on major issues. But now, the establishment of rival organizations, such as Trump’s pay-to-play “Board of Peace,” and the lack of full cooperation from many other member countries have severely undermined the UN’s peacemaking powers.

As a result, the international rule of law, gradually built up since the 1868 Declaration of St. Petersburg first sought to regulate the conduct of war, is rapidly losing credibility. In today’s 65 state-based conflicts, including eight international wars, the distinction between combatants and noncombatants has become increasingly blurred. Schools and hospitals are repeatedly threatened or even targeted, ignoring the more than century-old protections afforded by the 1907 Hague Convention. Despite all the treaties designed to protect them, children living in conflict zones are more at risk than ever.

Some believe that the end of US hegemony and the existing institutional impasse mean that multilateralism is necessarily moribund. But while China’s rise is confirming a shift toward multipolarity, with multiple centers of decision-making, multilateralism remains a viable option. In fact, given the need to deliver global public goods like climate action and public health on which we all depend, everyone will suffer if countries cannot find better ways of cooperating, whether through regional or other arrangements, to achieve agreed and specific goals.

But a bigger question has been raised by Canadian Prime Minister Mark Carney in his landmark Davos speech last January, and by Finnish President Alexander Stubb in his recent book The Triangle of Power. Can other powers find a basis within the UN Charter to meet agreed-upon global objectives even as America, Russia, and China resort to unilateral action? Here, the first step is for countries to demonstrate that they can cooperate on concrete policies absent superpower consent, and override an increasingly hostile international environment.

Fortunately, they are already making progress. Even as America stood aside, 124 countries at the World Health Assembly voted to adopt the WHO Pandemic Agreement (with only 11 countries abstaining), a major achievement for public health. More than 100 small- and medium-sized countries are backing the proposed UN treaty to prevent and punish crimes against humanity. Vanuatu, a small island state, recently led a coalition that grew to 132 countries in securing an advisory opinion from the ICJ declaring that inaction on climate change is a breach of international law.

While no progress has been made on a proposed treaty regulating plastics, consider the success of the UN High Seas Treaty. Despite enjoying the support of only one superpower (China), the treaty has entered into force, with Sierra Leone and Morocco among the leaders pushing it over the ratification threshold last year (at the time of writing, 93 countries have ratified it). Similarly, the Ljubljana-The Hague Convention guaranteeing mutual legal assistance on extradition, an initiative led by Argentina, Belgium, Mongolia, the Netherlands, Senegal, and Slovenia, had the support of 80 countries.

It is, of course, true that little progress has been made on the nuclear weapons build-up and on blocking nuclear proliferation. Several countries have talked about developing or siting such weapons on their soil. And despite many efforts, not enough progress has been made on regulating cyber technologies and AI, both areas in which America and China are dominant.

But there have been other successes. An alternative arbitration system for resolving trade disputes has 34 parties so far. The EU and the Comprehensive and Progressive Agreement for Trans-Pacific Partnership are considering the possibility of a more structured relationship, which, if India were to join them, could create the biggest trade bloc ever seen. In direct defiance of Russia, the Council of Europe has led 36 countries and the European Union in expressing their intention to support a special tribunal investigating Russia’s crime of aggression against Ukraine.

Much more can be achieved. Those countries that are neither superpowers nor their satellites control roughly three-quarters of the votes at the International Monetary Fund and the World Bank, represent huge majorities at the World Trade Organization and the WHO, and occupy two of the five permanent seats on the UN Security Council, as well as twelve of the overall fifteen.

Offering even more cause for optimism is a major shift in global public opinion. The proliferation of wars and conflicts has not pushed citizens into mindless jingoism; rather, an increasing majority recognize the value of cross-border collaboration. In a 2025 global survey commissioned by the Rockefeller Foundation, 55% of respondents in 34 countries supported international cooperation on global challenges, “even if it means compromising on some national interests.” That includes a clear majority of people surveyed in the US, demonstrating that their president’s “America First” agenda is now a minority position.

Despite the current US administration’s coercive approach to diplomacy, Americans can be convinced that acting unilaterally in a multipolar world is short-sighted, and that persuasion and cooperation better serve US interests. But for the time being, progress will depend upon a coordinated push by the leadership of like-minded powers. A hitherto silent majority of the world’s population yearns to return to the days of multilateral engagement and international cooperation. And the evidence suggests that they will not remain silent forever. Our leaders must follow them and recognize that this is the only viable path forward.

5. Building Canada’s Post-American Economy

Author: Ricardo Hausmann **Published:** Sep 1, 2026 **Link:** View Original

CAMBRIDGE—US President Donald Trump first hit Canada with substantial tariffs in 2018, targeting aluminum and steel. He did so again after returning to office in 2025, this time targeting dozens of goods, though he later exempted those compliant with the United States-Mexico-Canada Agreement. Last week, after trade talks broke down, he repeated his favorite trick, imposing 50% tariffs on a vast array of Canadian imports, including wine and mittens. Canada responded with “dollar-for-dollar” retaliatory tariffs.

Trump’s tariffs have come nowhere close to delivering an American manufacturing revival. Instead, they have inflicted losses on businesses and slowed growth in both countries. His actions have also shown that any protectionist US president could exploit trade integration with an ally for practical or ideological ends.

Canada is deeply vulnerable. Its merchandise exports to the US account for one-fifth of its GDP, and nowhere is this dependence more acute than in the auto industry. Given that automobile manufacturing depends on tightly integrated regional supply chains across North America, Europe, and Asia, it is difficult to imagine a viable Canadian auto industry without ready access to the Great Lakes-centered manufacturing ecosystem.

To reduce its strategic vulnerability to Trump’s extortion, Canada must develop industries that can operate freely across continents. We analyze these opportunities—and explain how Canada can seize them—in our forthcoming book Canada After America: A Strategy for Prosperity in a Changed World.

Canada’s natural resources are obviously an enormous asset. The planned West Coast oil pipeline is essential to bringing Alberta’s petroleum to Asian markets. Investments in new and expanded mines, and in the infrastructure needed to export their output, are also laudable. Global demand for Canada’s resources is robust, and, crucially, the country does not need access to American supply chains to extract them.

The same goes for several other value-added industries. Pharmaceuticals, manufactured from widely available basic chemicals, derive most of their value from the knowledge embedded in each medicine. Medical devices are expensive, high-value goods often purchased by hospitals rather than individual consumers, and can incorporate specialized inputs from around the world.

Or consider aerospace. Like automobiles, it involves intensive manufacturing. But planes are produced at relatively low volumes and according to extremely stringent quality standards. The necessarily slow pace of building an airplane enables genuinely global supply chains, with components sourced from numerous advanced economies.

Canada already has an established aerospace industry, led by Bombardier. It also has a number of notable biotech companies. Yet several of its European peers, including much smaller countries, generate tens of billions of dollars more in exports from these sectors.

But all these distance-resilient industries depend heavily on new knowledge and invest in research and development accordingly. Although Canada is home to world-leading research universities and a highly educated population, it is a notorious laggard in private-sector innovation. Canadian business R&D spending has hovered around 1% of GDP for decades. According to the latest OECD data, the US, Germany, Japan, South Korea, Sweden, and Israel all spend between two and six times as much relative to GDP.

Canadian private-sector R&D is also unusually concentrated among small companies. In the world’s leading tech economies, by contrast, large firms account for the lion’s share of business R&D expenditures.

Contrary to popular belief, research is chiefly conducted not by startups but by the likes of SpaceX and AstraZeneca: firms that have successfully scaled and now have the financial wherewithal to invest heavily in developing new technologies. Canada has relatively few champions of this scale, which helps explain why small and medium-size enterprises (SMEs) account for such a large share of its R&D.

Information and communications technology is a striking exception. Canada’s per-capita R&D spending in the sector is among the world’s highest, and the country has produced several large, business-facing firms like Shopify and OpenText. The core constraint is therefore not a systemic inadequacy. Rather, Canada struggles to build large firms in industries that are more capital- and regulation-intensive than software.

The problem is compounded by the structure of government support for private R&D. Canada provides substantial R&D funding through tax credits, but the program, though recently reformed, remains biased toward small firms. Tax credits also leave companies reliant on uncertain refunds after investments have been made. Other countries, like Israel and Germany, have traditionally funded private R&D through upfront grants.

Canada’s growth is further impeded by sluggish regulatory approvals and government procurement practices. The country’s health-care system relies on multi-stage reviews of new medicines involving sequential federal and provincial approvals. Other countries expedite approvals by conducting these reviews concurrently. For a Canadian pharmaceutical company developing a new drug, such delays can make the difference between profitability and bankruptcy.

A more ambitious approach to procurement could foster innovation. Government R&D budgets are often below 1% of GDP, while purchases of equipment and supplies typically exceed 10%. In Israel, for example, companies compete to solve public problems like emergency-room overcrowding. South Korea requires government agencies at every level to devote 20% of their procurement budgets to promising new technologies and companies approved by an independent agency. Governments act as anchor customers, helping innovative firms grow.

Sweden, Switzerland, Denmark, Israel, and others show that small countries can cultivate thriving tech industries. Canada can do the same, but first it must confront difficult political questions about health-care regulation and SME funding. Whatever tensions these debates provoke will pale in comparison to the consequences of remaining subject to the whims and malignant whimsy of its unreliable southern neighbor.

6. Germany’s Political Firewall Is Crumbling

Author: Michael Bröning **Published:** Sep 2, 2026 **Link:** View Original

NEW YORK—On May 8, 1654, the mayor of Magdeburg appeared before the Imperial Diet at Regensburg with two hollow copper hemispheres and 30 horses. Nothing joined the metal halves, yet the horses could not pull them apart. The hemispheres were held together by the vacuum within and the weight of the atmosphere around them. Only when a valve was opened and air rushed in did the spheres fall apart.

Another vacuum in Magdeburg is set to be filled when the eastern German state of Saxony-Anhalt—of which Magdeburg is the capital—heads to the polls on September 6. The result is expected to shake the German body politic and hold a crucial lesson for democratic movements beyond Germany: simply closing ranks against the far right becomes a dangerous tactic when it is mistaken for a strategy.

In recent surveys, the far-right Alternative für Deutschland (AfD) has polled as high as 43%, comfortably ahead of Chancellor Friedrich Merz’s Christian Democratic Union (CDU), which stands at 23%. This gives the AfD a real chance to lead a state government—a first in Germany’s postwar history. The election could be a watershed moment, marking the end of the political firewall (Brandmauer) erected by the country’s mainstream parties to keep the far right out of power.

The AfD in Saxony-Anhalt, led by Ulrich Siegmund, a charismatic 35-year-old entrepreneur with one of the largest social media followings of any state-level politician, is classified as an extremist party by the state’s domestic intelligence service. Ironically, constitutional rules designed to prevent such parties from gaining power may prove instrumental in their rise. Germany’s 5% threshold for entering federal and state parliaments, which dates back to the founding of the Federal Republic, was introduced to prevent political fragmentation—a key lesson from the failure of the Weimar Republic. Now it may shut out the Social Democrats, the Greens, the Liberals, and the left-nationalist BSW, all of which hover around the crucial mark in Saxony-Anhalt. If enough of them fall short, the AfD could convert roughly two-fifths of the vote into an absolute majority.

But even if these smaller parties do make it into parliament, an AfD-led government in Saxony-Anhalt might be blocked only by a minority government or an ideologically incoherent coalition bringing together the CDU and the anti-capitalist Linke. Such an arrangement risks feeding the far-right narrative that a cartel of mainstream forces is conspiring to keep it from power and would also almost certainly produce a government founded on little more than opposition to a shared adversary.

The AfD’s rise has been fueled by a combination of widespread concerns about immigration and related security issues, rising energy costs, and a backlash against perceived progressive cultural causes, from gender to language. In Saxony-Anhalt, the party’s platform minces no words. It warns of the “aging and extinction of the German people” and calls for banning the rainbow flag from school buildings, imposing a moratorium on wind-energy expansion, and establishing volunteer citizen patrols. Siegmund frequently invokes “remigration” and has made the abolition of public broadcasting one of his signature issues. Compulsory schooling is a problem, he claims, while Vladimir Putin’s Russia is a potential partner.

And Saxony-Anhalt could be only the beginning. At around 28% support, the AfD is currently the strongest party in national polls. Membership numbers are soaring, and nearly half of Germans now say they are not afraid of the party. Just two weeks after the vote in Saxony-Anhalt, the AfD is expected to come out on top in the state election in Mecklenburg-Vorpommern and to make a strong showing in Berlin.

For Germany’s mainstream parties, shutting out up to a third of the electorate is not a viable solution. But nor is alarmism. A recent cover story in Der Spiegel, Germany’s most influential weekly, featured a mugshot of Siegmund under the headline “Germany’s most dangerous man.” Siegmund, apparently delighted, has been handing out signed copies, turning the cover into a campaign prop.

Almost 400 years ago, the Magdeburg hemisphere experiment demonstrated the extraordinary force created by a vacuum. The Brandmauer operates on a similar principle, seeking to contain an oppositional force by keeping it out of government. But exclusion cannot substitute for effective governance, and vacuums are quickly filled when valves are opened.

The same is true for other European countries. In France, mainstream parties joined forces to hold the country’s far right at bay in the 2024 legislative election but failed to produce a stable government. Belgium’s political cordon sanitaire, meanwhile, has not stopped the nationalist Vlaams Belang party’s growth. And in the Netherlands and Sweden, years of shunning the far right did not prevent its voter base from expanding.

What liberal democracy needs now is not firmer walls against political insurgents but a state that delivers on its core promises: an immigration policy that is neither performatively cruel nor an exercise in wishful thinking; an energy policy that enables rather than undermines industrial production; and reforms that build economic momentum instead of regulating it away.

In 1654, two copper shells and 30 horses showed the assembled princes of the Holy Roman Empire the power of atmospheric pressure. This month, Magdeburg may once more reveal the power of atmospheric pressure. The question is no longer whether the vacuum will be filled, but whether it will be filled by anger and resentment or by competence, responsiveness, and decency.

7. American Götterdämmerung

Author: Joseph E. Stiglitz **Published:** Sep 2, 2026 **Link:** View Original

NEW YORK—In what US Treasury Secretary Scott Bessent has heralded as an Economic D-Day, the United States is threatening to tighten the noose around Iran with sanctions on countries that continue to trade with it. But far from compelling others to join its efforts to isolate the Islamic Republic, the Trump administration's mounting blunders are hastening the transition to a post-American world order.

It's understandable why US "allies" are reluctant to join President Donald Trump's costly, misbegotten war of choice. They weren't consulted beforehand, and they obviously do not want to get involved now that the US has failed to topple the Iranian regime or devise a Plan B. Why, for that matter, would anyone come to help an administration that constantly berates its friends and partners, threatens to seize their territory (Greenland and Canada), and hits them with punitive tariffs?

There are two ways to convince others to go along with you: persuasion and bullying. But in Trump's case, neither is working. Aaron David Miller of the Carnegie Endowment for International Peace is right to conclude that D-Day, in this case, means "desperation day."

Persuasion requires credibility. Others must believe that the administration has achievable objectives and the means to attain them. But Trump has a well-earned reputation as a liar, so no one believes anything he says. In June 2025, he claimed to have "completely and totally obliterated" Iran's nuclear capacity, and in March he declared that the US had "literally obliterated" Iran's military. A war that was supposed to last four weeks, or perhaps a little longer, is now into its seventh month. And everyone from the Iranians to the Canadians knows that any agreement Trump signs will be as sturdy as tissue paper.

Bessent was supposed to be the cabinet member with the most credibility. But he has now squandered it with his recent, failed attempts to steer the bond and currency markets. His real motive was almost certainly to signal to his boss that he is "doing something." But why do Trump a favor when he may turn on you the next day, as he has done to just about everyone who previously carried his water?

With persuasion off the table, Trump's only option is the one he prefers anyway: bullying and chest thumping. But this presents a problem. He and Bessent seem not to realize that the US cannot push others around as much as it once did. Nor does Trump understand the changing nature of modern war or the evolving US role in the global economy. Perpetually stuck in the past, he is unable to realize that America's share of global GDP (in purchasing-power-parity terms) has shrunk by half since the end of World War II, from roughly 30% to just under 15% in 2025.

More importantly, the US has lost control of key strategic chokepoints. The advanced chips used in most cutting-edge technologies are produced in Taiwan, and China dominates magnets and rare-earths production and processing. In these cases, even Trump realizes that America no longer holds all the cards. He may want to throttle the Islamic Republic's oil revenues by targeting the buyers; but China purchases 90% of Iran's oil exports, and it still holds a rare-earths trump card.

The responses to Trump's aggression reflect these increasingly unfavorable economic realities.

Seeing that American power is waning fast under Trump, Canadian Prime Minister Mark Carney has decided that enough is enough. He is refusing to surrender his country's economic sovereignty to America's mad king—a man who cannot even prevail over Iran.

The rest of the world is probably absorbing the same lesson. No one needs to tolerate such bullying. No one needs to capitulate or remain dependent on the US. A fast-changing global economic landscape offers many new opportunities for diversification. The sooner that Bessent and Trump realize how weak their hand is, the better it will be for the US and the world.

If China and others resist Trump's latest demands—as seems likely—they will neither collapse nor suffer the kinds of costs the US hopes to inflict. The economic world war Bessent has heralded would end in a stalemate, much like the impasse in the Strait of Hormuz. Once again, the US will pay a high price, and the costs it imposes on others around the world will further damage its reputation and soft power.

The US used to be a role model. It stood for democracy, economic opportunity, and other values that appeal to many countries. Now, it is a model of what not to do—a cautionary tale of extreme inequality, democratic erosion, corruption, and social division. The rest of the world should develop a new appreciation for the value of cooperation and the rule of law, both domestically and internationally. A world that casts off American leadership, at least for now, promises greater stability, security, and prosperity for all.

8. YOUR CHOICES REGARDING COOKIES ON THIS SITE

Author: Michael Bröning **Published:** 2026-09-03 **Link:** View Original

In committing to provide a safe swimmable place within 15 minutes of every home by 2035, London Mayor Sadiq Khan has set a measurable, time-bound goal that cannot be met through a single program or line item on the budget. Instead, it requires a public mission capable of mobilizing all ministries and shaping markets.

A new book tells the story of the economics discipline and its original purpose with a degree of verve and imaginativeness that puts dreary mainstream economists to shame. In the process, it gets at fundamental truths that major schools within the discipline have managed to obscure.

US President Donald Trump and his Treasury secretary’s latest desperate threats confirm how much American power has waned on their watch. Far from compelling others to join their efforts to isolate Iran, they are hastening the transition to a post-American world order.

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13. How Will the US-Iran War End?

Author: Simon Johnson **Published:** Sep 3, 2026 **Link:** View Original

WASHINGTON, DC/BERKELEY—Last week, US Treasury Secretary Scott Bessent launched an “economic D-Day” program, intended to cut Iran off from all trading partners. So far, this intensified economic blockade has only contributed to an escalation of the US-Iran war, rather than moving it toward a conclusion.

That probably will not change, because China is unwilling to cooperate. And this is the reality that US policymakers must now face: Most possible paths to lasting peace run through China.

Wars end because one side gives up, or because influential people on both sides grow tired of the losses and want to move on, or because a powerful third party imposes peace. Seen through this lens, the US-Iran conflict could last for a long time. Hardliners on both sides are now deeply entrenched. Iran is not about to surrender, the US will not risk a full-scale invasion, and China, the only third party with enough clout to make a difference, seems inclined just to watch. Bessent’s economic isolation campaign is unlikely to prove decisive without the support of Iran’s most important trading partner.

If China continues to do business with Iran, the current Iranian leadership will most likely survive. Any US threats against China remain non-credible, given China’s leverage over the supply of critical minerals needed by the sectors driving economic growth in the United States and other major countries. No critical minerals means no computer chips—and no AI-led investment boom for the US.

Iran and the US agreed to a ceasefire in June, and this was quickly followed by a memorandum of understanding (MOU). But none of this has led to real peace. Iran is still effectively limiting passage through the Strait of Hormuz, and the US is still turning away most vessels associated with Iran. The MOU looked good on paper, but it was never fully implemented by either side.

When the US and Israel attacked Iran in late February, and Iran responded by closing the Strait of Hormuz, some strategic thinkers believed that China would press for a quick resolution of the conflict, primarily because, until recently, as much as 60% of its oil imports passed through the Strait of Hormuz. But this turned out to be a miscalculation. China had more than 1.2 billion barrels—200 million above its usual reserves—when the conflict began, and still holds more than 1.15 billion barrels today.

At the same time, the disruption and increase in global oil prices have accelerated demand for renewables and electric vehicles, which has helped China’s exports. Ironically, these sectors are the same ones in which China has huge excess capacity. In that sense, the current crisis has postponed the financial losses in these sectors.

Overall, China turned out to be one of the least sensitive countries to the current crisis. This should be an important consideration in any future calculations by US policymakers and rules out instability in the Middle East as part of the toolkit for containing China.

The main loser from this war is the broader Middle East. The world economy is learning how to survive with oil and gas exports from the region at around half of their prewar level. Of course, it is a relatively costly adjustment, but the longer this crisis continues, the less sensitive the world economy may become to disruptions in the Middle East. This may not be good news for the region’s oil-exporting countries, and they are likely to lose market share over the medium term.

Countries in the region, especially Saudi Arabia, the United Arab Emirates, and Qatar, have also learned that reliance on US security may not work as well as they thought. Saudi Arabia is trying to increase its reliance on other regional allies, while Qatar and the UAE are talking directly with Iran and using economic incentives to buy some security for themselves. These shifts support the argument that regional economic integration must be part of the solution to the current impasse.

At first glance, more diplomacy by regional players may strengthen the case for the US washing its hands of the issue and leaving the problem to Iran’s neighbors. But it is very hard to see how the nuclear issue would be addressed in this scenario, and without addressing that concern about Iran, it may be very hard to make any long-term plans or even achieve partial economic integration in the region.

The only stable solution to this crisis is one that involves China and increases economic integration in the region, as well as addressing the nuclear issue by integrating Iran’s program into a regional civilian electricity production supply chain led by China.

Chinese President Xi Jinping is due to visit Washington at the end of September. Perhaps the US-Iran conflict can be resolved in the context of a broader discussion with President Donald Trump. Or perhaps China will be content to watch and wait.

14. Why the Far Right's War on Modern Architecture Matters

Author: Jan-Werner Mueller **Published:** Sep 3, 2026 **Link:** View Original

PRINCETON—Although the far-right Alternative for Germany (AfD) has been surging in the polls for two years, it has been kept from power by other parties' refusal to enter governing coalitions with it. But since this "firewall" relies on the AfD never winning outright majorities, it could be fatally undermined by this weekend's state election in Saxony-Anhalt.

True, even if the AfD can form a government in Saxony-Anhalt, it will not be able to do much about its current preferred topic: migration policies and refugee law. But Germany's 16 federal states (Länder) do have wide-ranging authority over culture and education policy, and it is here that the AfD's program has been most revealing (and revolting).

Far-right populists always wage culture wars. Though they sometimes try to take advantage of cost-of-living crises or other economic challenges, peddling the idea that they alone represent what they call the "real people" is their core commitment. Because they insist that only citizens with the "right" characteristics qualify, they never miss an opportunity to push for the "remigration" not only of refugees but also of "unreal" or "fake" citizens, meaning those from the wrong ethnic background (or even those committed to the wrong political positions).

Given their fixation on questions of identity, far-right parties can keep changing their economic agenda—veering from neoliberalism to support for a strong welfare state—without ceasing to be far right. Only by changing their tune on refugees and migrants would they truly become a different political entity.

This brings us back to the AfD's program for Saxony-Anhalt. The AfD cleverly accuses what it calls the establishment parties (Altparteien) not of corruption or malice, but of a weakness of will that stems from "national masochism" and low "self-confidence." These defects supposedly have "cultural" roots, namely a "tradition of destroying tradition" that has left the country defenseless against "rainbow ideologies."

If things go its way, the AfD hopes to make Saxony-Anhalt a model of "patriotic cultural policies" for the other Länder. It advocates "thinking in a German way" (#deutschdenken), which means opposing the current regional government's Bauhaus-inspired campaign for artistic freedom and modern ideas.

Founded in Weimar but eventually relocated to Dessau in Saxony-Anhalt, the Bauhaus school of art, design, and architecture is still remembered fondly for remarkable buildings like those designed by Walter Gropius in Dessau during the mid-1920s. But according to the AfD, Bauhaus represents "anti-German art," meaning "German art that doesn't want to be German." If given power, it would require every new edifice built with state financial support to reflect what it considers a recognizably German tradition (a category that apparently does not include the state's own most influential architectural school).

Attacks on modern architecture are not a peculiarity of the German far right. From former Hungarian Prime Minister Viktor Orbán to US President Donald Trump, who has issued multiple executive orders to make classicism the preferred style of new federal buildings, far-right leaders have long sought to transform the built environment to reflect what they regard as proper national traditions.

Their reasons are varied. For starters, architecture, from the huge mosques erected under Turkish President Recep Tayyip Erdoğan to the prominent Hindu temples commissioned by Indian Prime Minister Narendra Modi, provides tangible, widely visible clues as to who "the real people" are supposed to be. "Beauty"—one of Trump's watchwords, but also one pushed by more sophisticated figures like the Dutch intellectual-cum-dandy far-right leader Thierry Baudet—is shorthand for advocacy of traditional hierarchies, from the household to the economy to politics. The AfD would require all new public buildings to be viewed by the majority as "beautiful" (which seems to suggest that every design must be subject to a popular referendum).

Plenty of self-consciously traditionalist organizations and online accounts support this vision, and unlike professional politicians, they are more likely to give the game away. Many explicitly pit classical architecture against "globalism"—a term that often serves as a slippery slope toward anti-Semitism—or reprise interwar (namely, Nazi) descriptions of modernism as "degenerate art." For all the emphasis on particularity, anti-modernism is itself a depressingly homogeneous worldwide phenomenon.

The AfD's description of Bauhaus as a symbol of "deracination" has already been answered with a new "Bauhaus Manifesto," initiated by Germany's federal cultural minister. But as laudable as this document is as a political statement, it ends up massively oversimplifying the history of 20th-century architecture. Contrary to the manifesto's central claim, it is far from obvious that all the protagonists of the Bauhaus stood for an "open society." In fact, some were quite ready to work with and for the Nazis (who officially banned the school). A Bauhaus-trained architect was among those who designed Auschwitz.

The point is not that everyone who likes traditional architecture must be a closet right-wing extremist. Rather, it is that the far right's cultural agenda is intimately tied to its underlying exclusionary political agenda. And since the built environment always serves to make values visible, as the philosopher Susan Neiman once put it, it would be a mistake to dismiss the fight over modern architecture as a sideshow.

15. Whipsaw Trade Policy Is Depressing Foreign Direct Investment

Author: Jonathan D. Ostry **Published:** Sep 3, 2026 **Link:** View Original

TORONTO—When US President Donald Trump warned business leaders in Davos last year that tariffs were coming, he offered a word of friendly advice: “Come make your product in America” and thereby sidestep looming import duties from the get-go. In the months that followed, Trump’s America First trade policy took shape. The “Liberation Day” tariffs were announced, paused, restored, found to be unconstitutional, and then replaced by duties enacted under different legislation.

The upshot was a combination of high tariffs (at rates last seen in the 1930s) and burdensome uncertainty for businesses that could no longer plan their operations. Even now, unpredictability remains a signature feature of US trade policy, with new rounds of unilateral tariffs recently announced amid the expiration of tariffs imposed in February and a renewed push to restore higher levels of protection for US firms.

These two components (restrictiveness and unpredictability) extend to the global trade policy landscape more broadly. As advanced economies have embraced industrial policy, tariffs have emerged as a central instrument to reduce dependence on foreign supply chains, promote reshoring of jobs and production, and address perceived unfair foreign trade practices. But what about the impact of the policy regime on inward foreign direct investment (FDI), which remains an important objective in its own right?

In a recent paper, my colleagues and I examined how trade-policy shocks affect bilateral FDI flows. While our research was motivated by policy developments in the United States, it takes a global perspective, covering bilateral investment flows from over 200 source countries to 35 OECD countries over nearly four decades. Our goal was to quantify causal effects: how FDI evolves in the aftermath of a trade-policy shock (an increase in restrictions or uncertainty) relative to the counterfactual of no shock.

In theory, trade restrictions have ambiguous effects on FDI. On the one hand, because tariffs raise trade costs, they will tend to deter efficiency-seeking and export-oriented FDI, which relies on the seamless exchange of intermediate goods across borders within global value chains. By increasing both the level and volatility of trade costs, trade-policy shocks (restrictions and uncertainty) reduce the expected profitability of integrated production networks and weaken incentives to locate stages of production abroad. Unpredictability depresses FDI by increasing the option value of delaying investment until the policy landscape is clearer.

On the other hand, trade barriers may encourage market-seeking or tariff-jumping FDI (as Trump alluded to), whereby firms establish production facilities within protected markets to preserve access and avoid import duties. This tactic was in evidence last year amid the US-China tariff escalations, when several Chinese firms expanded production in North America and third countries to circumvent US tariffs.

Taken together, these considerations suggest that the relationship between trade-policy shocks—both realized trade restrictions and increases in policy uncertainty (words and deeds)—and FDI is ultimately an empirical question.

Our findings paint a sobering picture of how both trade restrictions and policy uncertainty affect bilateral FDI inflows. While both shocks dampen FDI, the uncertainty shock is far more potent (its impact on a comparable basis is about three times larger than the restrictions shock—a 50% reduction (relative to the FDI sample mean) in the first year following a one standard-deviation uncertainty shock, compared to 15% for the tariff shock). The difference reflects how investment decisions involving high sunk costs respond to expectations about future regulatory environments. When uncertainty spikes, investors sit on the sidelines, delaying investments until the policy fog clears.

Interestingly, the damage to FDI appears to be stronger when source and host countries are geoeconomically and geopolitically close than when they are distant. When host and source countries are close partners in global production networks, the hit to FDI from trade restrictions is amplified. And when host and source countries are geopolitically close (based on United Nations voting records), the impact of uncertainty shocks is likewise amplified.

Amid governments' reconsideration of the benefits of global trade integration, tariffs have emerged as a central policy instrument, justified on national-security grounds, to support domestic manufacturing and employment, or to correct other countries' perceived unfair trade practices (including state subsidies and undervalued currencies). Seen in this light, the chilling effect of tariffs on FDI might be viewed as unavoidable collateral damage.

But even for those who desire less global trade integration, the surge in policy uncertainty seems to carry a cost without any corresponding benefit—an own goal or self-inflicted wound. In this respect, elevated policy uncertainty is a puzzle. If a country opts for higher trade restrictions to promote its (perceived) domestic interests, a predictable policy is far superior to a volatile one, as it avoids the unnecessary and large collateral damage to FDI inflows.

16. India’s Resilience Depends on Diversified Trade

Author: Shekhar Aiyar **Published:** Sep 3, 2026 **Link:** View Original

NEW DELHI—Indian Prime Minister Narendra Modi’s participation in the recently concluded Shanghai Cooperation Council meeting in Kyrgyzstan was about more than regional security; he also used the forum to push for deeper trade links between member states. This is only the latest example of India’s proactive pursuit of trade diplomacy. Last year’s free trade agreement (FTA) with the United Kingdom was followed this January by the “mother of all deals,” a wide-ranging agreement with the European Union. And high-level trade talks continue with the United States, building on a joint statement of intent issued in February.

But the backdrop to this big push is fraught, to put it mildly. US President Donald Trump’s sweeping and erratic tariffs are only the latest body blow to the international trading system. The World Trade Organization’s Appellate Body, which adjudicates trade disputes between member states, has been decapitated since 2019. Countries are increasingly viewing trade and investment through a national security lens. The rules-based multilateral trade order that the Asian Tigers and China relied on to pursue export-led development has effectively collapsed, with no evident successor in sight. As Antonio Gramsci put it at another moment of profound global upheaval, this is “the time of monsters.”

How might a middle power like India anchor its trade strategy in such a tumultuous period? The nascent field of geoeconomics offers some useful guidance.

Consider the concept of “geopolitical distance.” Political scientists at Georgetown University have compiled a database measuring the gap between countries at any given point in time, based on voting patterns at the United Nations General Assembly. Research has shown that geopolitical distance is becoming increasingly important in determining patterns of international economic engagement. Bilateral trade, foreign direct investment and cross-border financial claims fall sharply with geopolitical distance.

This trend raises the prospect of a segmented world economy, with export markets shrinking for most countries. While such “geoeconomic fragmentation” is still limited compared to, say, the Cold War era, the trajectory is worrying. A review of several recent papers suggests that a full decoupling of the global economy into rival blocs could reduce global GDP by up to 7% in the long term. The burden would fall disproportionately on emerging and developing economies, which stand to benefit the most from external market access, unrestricted foreign direct investment, and technology transfers.

In this landscape, the best strategy for a middle power is likely to be diversification: building a network of trade relationships sufficiently dispersed so that no single bilateral rupture could cause catastrophic harm. The obvious analogy is to modern portfolio theory: a well-diversified investor is not betting on any particular asset but rather seeking insulation against the failure of a subset of assets. Here, the relevant measure is the standard deviation of a country’s trade-weighted geopolitical distance from all trade partners.

By this metric, India is rather well placed. It ranks among the top quartile of countries for export diversification across the geopolitical spectrum, and near the median for import diversification. Its trade relationships range from the US and Europe to Russia and the Gulf, with many Asian and African economies in between. It has conspicuously refused to be corralled into a single bloc: abstaining from Ukraine-related votes at the UN and deepening the Quad partnership, while also playing a foundational role in the BRICS group and negotiating deals with both the US and the EU. Such strategic diversification is enormously valuable in a fragmenting world.

Indian policymakers should draw several lessons from these findings. First, to leverage its enviable spread of partners, India must trade much more than it does today. While the country’s current trade-to-GDP ratio of about 45% marks considerable progress from the near-autarky of the pre-liberalization era, it remains well below the levels achieved by successful East and Southeast Asian economies.

The recent string of FTAs is an excellent start, but more could be done to develop regional trade by joining major agreements such as the Comprehensive and Progressive Agreement for Trans-Pacific Partnership. Closer to home, trade links among the economies of South Asia remain much weaker than those among comparable groups such as the Association of Southeast Asian Nations. To take one example, they could be strengthened by expanding cross-border energy markets: abundant hydropower from neighbors such as Nepal and Bhutan could reduce India’s dependence on fossil-fuel imports.

Next, India should participate in plurilateral deals struck among various subsets of WTO members seeking to deepen trade in a specific area. The Columbia University economist Jagdish Bhagwati famously argued that plurilateral agreements impede first-best multilateral progress, but that argument is irrelevant when the WTO has not made any multilateral progress on lowering trade barriers since the Doha Development Round commenced in 2001. Consider the plurilateral agreement on e-commerce now being implemented by 66 members, covering 70% of global trade. As a large net-exporter of digital services, India should not only sign on, but also seek a leading role in the coalition.

Finally, India should zealously safeguard the diversification it has already achieved, which in turn makes it an attractive partner for countries forging a “China Plus One” strategy or, increasingly, seeking to reduce trade dependence on the US. That means being wary about any bilateral agreement that curtails its freedom of action vis-à-vis third countries. Canada has set an example by walking away from trade negotiations with the Trump administration in part because the US sought veto power over its engagement with other countries.

Of course, Canada is overwhelmingly dependent on the US as an export market, so it is unclear whether its principled stand will succeed. For India, well-diversified to begin with, the case is more clear-cut. A country that has spent decades cultivating strategic autonomy should think long and hard before trading it away for preferential market access, however attractive the terms. India must lean into its position as one of the few countries to combine economic scale, democratic legitimacy, and geopolitical breadth to boost trade and remain open to all comers.

17. Is AI Crowding Out Other Investment?

Author: Dambisa Moyo **Published:** Sep 4, 2026 **Link:** View Original

LONDON—Wall Street analysts keep revising their forecasts for AI-related capital expenditures upward, with some estimating that major tech firms—including Amazon, Microsoft, Alphabet, Nvidia, and Meta—could spend as much as $1.4 trillion by 2027. Gartner, a research and advisory firm, projects that global AI spending will reach $2.5 trillion this year.

The staggering amount of capital now being earmarked for data centers sprouting across the United States, advanced networking equipment, and electricity infrastructure raises a critical question: Is the AI buildout crowding out investment in other sectors? As Goldman Sachs economists Jessica Rindels and David Mericle—hardly anyone's idea of modern-day Luddites—observed, there is a real risk that AI could starve other productive sectors of capital and become a drag on growth.

Indeed, the consensus among investors, as Apollo Global Management's Chief Economist Torsten Slok recently noted, is that hyperscaler capital expenditure will reach roughly 3% of GDP annually between 2027 and 2029. That is sharply up from 0.3% of GDP in 2019 and 1.4% in 2025.

AI industry leaders and investors argue that the current AI boom could deliver enormous productivity gains, transforming the global economy and leaving everyone better off. Like previous technological revolutions, AI promises to restructure entire industries, from defense and manufacturing to education. It could also reduce costs in sectors, especially education and health care, where efficiencies have long been elusive.

AI-related investments have already become a major driver of US economic growth. Morgan Stanley estimates that capital expenditures on the technology could add as much as 2.5% to US GDP growth this year and more than 3% in 2027.

But is the AI spending spree coming at the expense of other industries? In 2025, AI accounted for 65.4% of venture-capital deal value in the United States. With its voracious appetite for capital, there is a real chance that the industry could starve other promising fields, such as biotech and nanotechnology, of much-needed investment. Already in 2024, AI engineer Abhay Gupta warned that startups in suddenly less-glamorous areas like greentech and social impact investing were finding it much harder to attract VC capital because of the AI boom.

Crowding out is not confined to venture capital. It can also occur when fierce competition for capital pushes borrowing costs high enough to choke off financing for otherwise attractive projects or sectors.

There are already signs of this dynamic in capital markets, the most obvious one being that borrowing costs, as measured by real interest rates, have been rising. The recent spike in US Treasury yields could partly reflect the growing demand for financing fueled by the AI investment boom; new Fed Chair Kevin Warsh's hawkish approach to inflation no doubt also contributed. For the first time in more than 30 years, capital is being repriced as demand begins to exceed supply. If AI is driving that shift, the result could be a massive crowding-out effect.

To put the sheer scale of capital flowing into AI in perspective, relative to US GDP, the AI super cycle ranks ahead of previous investment booms, including the mid-19th-century railroad boom, the construction of the US interstate highway system from 1955 to 1970, and the Apollo space program.

The range of financing tools tapped to satisfy this demand is equally striking. Virtually every financial instrument and innovation developed over the past few decades is being used to fund the AI buildout, from plain-vanilla investment-grade bonds and securitizations to private credit, leasing-style structures, and retail funds.

Naturally, such a vast amount of debt (and equity) issuance has fueled concerns about circular financing deals in which major AI players, including chipmakers and cloud providers, fund startups in the AI space. Those startups then spend that capital on hardware and computing power from the very same providers.

This circular financing structure poses risks to the financial system and the real economy, particularly at a time of rising bond yields, when leverage among AI businesses could spark a financial crisis. Bank of England Governor Andrew Bailey recently warned of a potential “blow-up,” or collapse of the AI investment bubble, that could trigger a major global financial downturn.

Compounding this surge in demand for capital is a decline in savings. Since OpenAI released ChatGPT in November 2022, the US household savings rate has fallen from 3.8% to 3% while AI investment has surged. This stands in stark contrast to the situation during then-Federal Reserve Chair Ben Bernanke’s tenure, from 2006 to 2014, when a savings glut coincided with a private sector dominated by businesses with relatively modest capital needs, keeping interest rates low. Today, a capital-intensive industry is dominating investment flows just at a time of declining savings and rising interest rates.

This increases the risk of crowding out investment in other industries. The private sector has a finite pool of capital, and its size is largely determined by how much people are willing to save. The more of those savings AI absorbs, the less there is for everything else, including factories and other investments that require large amounts of capital.

Debt markets provide an early indication of this strain. In the first eight months of 2026, the five largest hyperscalers issued $132 billion in debt, compared with an annual average of $35 billion in debt between 2020 and 2024. And that doesn’t even include financing for data centers, chipmakers, and utilities. Vanguard estimates that AI-related debt issuance could total $300–570 billion for the full year.

Rising capital costs signal that demand is outpacing supply. With so much capital flowing to data centers and AI infrastructure, higher interest rates make it more expensive for other sectors to raise money in the bond market. As AI-driven demand for capital rises, borrowing from other industries must fall in order for the market to return to balance. When the supply of capital is inelastic, some demand inevitably goes unsatisfied. If this actually happens, the economy may well experience the “innovation winter” that the Eurasia Group warned about in 2019 as a potential consequence of capital starvation.

Another indication of crowding out is the widening gap between the performance of AI-related stocks and the rest of the market. From 2023 through 2025, the “Magnificent Seven”—Alphabet, Amazon, Apple, Meta, Microsoft, Nvidia, and Tesla—outperformed the S&P 500 by a wide margin, at times accounting for as much as two-thirds of the index’s total gains.

Together, these seven companies now make up more than one-third of the S&P 500’s total market capitalization. RBC Wealth Management has called this concentration the “Great Narrowing,” describing it as even more pronounced and entrenched than during the dot-com era, which of course ended in a crash. Although RBC acknowledges that concentration does not necessarily mean a bubble, the risks are real, ranging from the damage that a poor earnings report from just one company could inflict on the overall index to the more serious threat to the economy if sentiment toward AI suddenly turns negative.

Capital is also not the only resource AI is competing for. Its insatiable demand for water, electricity, land, and materials could drive up prices and leave other sectors to compete for increasingly scarce supplies.

Recent company earnings calls suggest that this is already happening in some areas. Intel, for example, has indicated that semiconductor supply is being directed toward AI and away from PCs. Elevator manufacturer Otis and homebuilder Lennar have pointed to skilled-labor and construction-capacity shortages that are delaying projects. IBM has noted that IT budgets are shifting toward AI and away from conventional hardware and software, while Micron and SK Hynix have reported memory shortages constraining PC and smartphone production.

Despite considerable financial and anecdotal evidence, the claim that AI is crowding out other investment is far from settled. There are at least three reasons to question this narrative, one of which suggests that the AI boom could be having precisely the opposite effect.

For starters, there is no clear evidence of crowding out in the macroeconomic data. AI may be consuming a greater share of investment, but that has not been offset by a decline in investment elsewhere. In fact, data from the Bureau of Economic Analysis show that gross private investment as a share of US GDP has remained broadly stable.

Second, higher interest rates could reflect a repricing of financial assets rather than crowding out. The 30-year Treasury yield has risen by more than 33 basis points since the start of the year, but that increase has been attributed largely to the Iran war and renewed inflation concerns following the spike in energy prices. With so many forces driving up rates, it is hard to say with any certainty how much of this trend reflects the impact of AI.

The third counterargument draws on the so-called Jevons paradox: when a new technology makes a resource more productive and efficient, the resulting cost declines can strengthen, rather than weaken, demand for the resource. By this logic, AI could increase productivity, lower costs, and boost demand for a wide range of goods and services, prompting companies to invest more in response. AI investment could thus become a catalyst for investment in other sectors—power generation and utilities, financial services, and cloud computing—rather than sucking capital away from them.

For now, AI appears to be crowding out investment at the margins and not across the board. It is clearly diverting capital and resources away from other sectors, but there is not yet enough evidence to conclude that it is dragging down overall investment or economic growth.

18. Asia's Natural Disasters Must Not Become Financial Crises

Author: Yasuto Watanabe **Published:** Sep 4, 2026 **Link:** View Original

SINGAPORE—The catastrophic flooding in Nepal has demonstrated, once again, the devastating human and economic toll of climate change. The immediate priority must be to save lives and support affected communities. But the devastation also highlights how physical hazards can quickly morph into macroeconomic shocks.

These events have different causes, and no single disaster should be casually attributed to El Niño or climate change. Nonetheless, the World Meteorological Organization expects a strong El Niño to intensify from August through October, increasing the likelihood of above-normal temperatures in much of the world and major shifts in rainfall. In Southeast Asia, El Niño often brings drier conditions and raises the risk of drought, wildfires, and haze, although its effects vary across countries and seasons.

For policymakers, the imperative is to prepare for the economic chain reactions triggered by extreme weather events. Droughts, floods, and heat waves damage crops and infrastructure. In countries with inadequate food stocks, weak logistics, and concentrated import sources, lower production can lead to shortages, higher prices, and declining household purchasing power. Governments face pressure to subsidize prices or facilitate emergency imports, while central banks confront the difficult combination of supply-driven inflation and weaker demand.

Then comes the fiscal aftershock. If roads, ports, irrigation systems, schools, and hospitals cannot be repaired or replaced in a timely manner, temporary disruptions can turn into a permanent drag on productive capacity. Governments may be forced to divert spending from development, borrow at short notice, or wait for external assistance. A post-disaster financing gap can all too easily become a long-lasting economic slump.

When disaster strikes, countries must be prepared not only to limit physical damage, but also to reduce economic downtime, maintain essential public services, contain financial stress, and prevent short-term losses from weakening long-term growth. A robust, rapid recovery requires providing humanitarian support and stabilizing macroeconomic conditions.

The scale of the challenge is staggering. According to the United Nations Office for Disaster Risk Reduction, direct disaster losses averaged $180–200 billion annually between 2001 and 2020. When accounting for indirect, cascading, and ecosystem effects, the total annual cost rises to more than $2.3 trillion.

Asia must be prepared. To that end, in May, finance ministers and central bank governors from ASEAN+3 countries (the Southeast Asian member states, plus China, Japan, and South Korea) endorsed the Disaster Risk Financing Initiative's 2026–28 roadmap. This framework will help members develop national disaster-risk financing strategies and expand their use of insurance, catastrophe bonds, and other relevant instruments.

To be sure, prearranged financing cannot cover the full costs of a major disaster. Nor should insurance be expected to do so. Their value lies in providing reliable funding during the critical early stage of a crisis, when delays are most damaging, and governments have the least room to improvise. For example, on September 4, the Southeast Asia Disaster Risk Insurance Facility, a regional platform under the umbrella of ASEAN+3, announced total payouts of $2.28 million to

Laos and the United Nations World Food Programme after official data showed that more than 260,000 people had been affected by heavy rainfall and widespread flooding.

The right approach is to match financing to risk. Budget reserves and disaster funds can cover frequent, relatively small losses. Contingent credit may be used for medium-size shocks, while insurance and capital-market instruments should be reserved mainly for less frequent but fiscally severe events. To ensure that the funds reach affected communities quickly, governments must have effective social-protection systems and contingency plans.

This process converts uncertain post-disaster liabilities into risks that can be measured, priced, allocated, and, most importantly, managed in advance. When some of the recovery costs are prearranged, governments are less likely to increase taxes abruptly, slash public investment, resort to emergency borrowing, or delay aid. Fiscal exposure becomes more predictable, reducing uncertainty around public debt, inflation, and economic growth.

The benefits extend beyond government balance sheets. Such an approach also provides businesses and financial markets with greater clarity about post-disaster taxation, public-investment cuts, payment delays, and credit conditions. And it enables a quicker restoration of ports, roads, electricity, and communications, limiting disruption to regional supply chains. Across the closely integrated ASEAN+3 region, recovery in one economy helps preserve its neighbors' stability.

The economics of climate change has reframed the role of disaster-risk finance. No longer merely a peripheral instrument that pays claims after an extreme weather event, it has become a policy lever that protects fiscal space and improves the medium-term outlook before a crisis occurs. Disaster-risk finance functions as a macroeconomic firewall for fiscal policy, financial stability, food security, social protection, and infrastructure planning, reducing both economic volatility and uncertainty about the recovery.

ASEAN+3 has spent decades building its regional financial safety net against currency and financial crises. As a strengthening El Niño threatens to take its toll on the region, the next task is clear: prevent natural disasters from becoming humanitarian, fiscal, and, ultimately, financial crises. With regional disaster-risk finance, governments will be in a better position to restart their economies, preserve fiscal space, and contain spillovers. That is what real resilience looks like in a warming world.

19. The Golden Bridge to Monetary Multipolarity

Author: Hippolyte Fofack **Published:** Sep 4, 2026 **Link:** View Original

MONTREAL—One clear sign of de-dollarization and the shift toward a multipolar monetary order is gold's renewed prominence in global financial markets. Investors increasingly view the metal as a strategic asset; central banks are buying record amounts of it to bolster resilience against financial and geopolitical risks, with last year marking the fourth-largest expansion of gold reserves on record. The Dutch central bank's decision to move much of its gold reserves out of the United States, citing "geopolitical unrest," is but the latest example of this trend.

Market reactions to US Treasury Secretary Scott Bessent's intervention in bond markets after the sharp selloff in longer-dated US debt and the resulting higher yields in the usually quiet month of August further support the perception of gold as the ultimate safe-haven asset. Bessent's intervention sparked a sharp drop in the dollar and a massive rally in gold prices.

This follows the European Central Bank's confirmation in June that gold had overtaken US Treasuries as the world's top reserve asset. That status seems likely to harden and spread. According to a recent survey by the Official Monetary and Financial Institutions Forum, more central banks plan to decrease their dollar holdings than to increase them over the next decade. The World Gold Council's 2026 Central Bank Gold Reserves survey reports similar findings, with 74% of respondents anticipating moderate or significantly lower dollar reserves over the next five years.

It is, of course, unlikely that a new global monetary hegemon will replace the dollar any time soon, especially in a digital age marked by rapid technological diffusion and increasing dispersion of economic power. Instead, the slow retreat from the greenback signals the emergence of a more diversified international monetary system in which several currencies—the dollar, the euro, and the renminbi—play important roles, particularly in central-bank reserve holdings. In such a system, gold serves as the politically neutral reserve asset linking competing monetary blocs.

Central banks, sovereign wealth funds, and institutional investors have begun to prioritize capital preservation over high returns, mainly because high-yield investments lose their appeal if the underlying assets are at risk of becoming inaccessible during periods of conflict or instability. Gold, whose relationship with the dollar's trade-weighted exchange rate is typically negative, carries no sovereign counterparty risk, making it a superior hedge against the challenges of a rogue America and geopolitical turbulence.

Geopolitical risks have transformed the international monetary system from a neutral infrastructure that facilitates global commerce and cross-border investment into an arena of strategic competition, fundamentally altering the risk-return balance and elevating national security from a peripheral concern to a threshold condition for investment decisions. Strong demand for gold reflects a broader transformation in global finance, marked by a shift from financial claims to tangible ownership, from efficiency to resilience, and from dependence on a single reserve currency to a more diversified and strategically balanced monetary order.

This reassessment of sovereign risk has certainly influenced the People's Bank of China's reserve strategy. In July, the PBOC increased its gold reserves for the 21st consecutive month to 76.08 million troy ounces. Meanwhile, China is building up its physical gold inventories in Hong Kong, which recently launched a gold clearing and settlement system on a trial basis, and has limited retail investors' access to precious-metals trading.

China’s shift toward holding physical gold underscores the evolution of the metal’s function, from a financial asset to a strategic monetary asset. In addition to reducing dollar exposure, gold’s larger role in the management of the country’s currency reserves also promises to strengthen trust in the renminbi and reinforce confidence in the PBOC’s balance sheet. It also seems aimed at boosting efforts to facilitate the renminbi’s broader use, including through bilateral currency-swap agreements, trade-settlement mechanisms, and debt issuances, with the market for renminbi-denominated debt instruments (offshore “dim sum” and onshore “panda” bonds) rapidly expanding.

But China’s push to promote the renminbi does not mean that the currency is capable of unseating the dollar. The renminbi remains subject to capital controls and lacks the financial depth to compete with the greenback globally.

Similarly, recent initiatives to internationalize the euro, most notably the expansion of the enhanced Eurosystem repo facility for central banks and the growing issuance of euro-denominated debt, have been relatively successful, with it becoming the leading currency in the green and sustainable international bond market in 2025. But still, the euro cannot hope to fill the dollar’s global shoes, owing to structural and institutional barriers, notably the lack of a unified fiscal policy and deep, seamless capital markets.

Even so, gold complements the rise of rival currencies and supports diversification by providing a common store of value that is accepted without regard to geopolitical alignment or other monetary arrangements. Thus, its ascent reflects efforts —including local-currency settlement between BRICS members and cross-border payment systems in Asia and elsewhere—to deepen regional integration and reduce dependence on the dollar for trade and investment.

Digital technologies that enable the circumvention of traditional correspondent banking networks add another dimension to gold’s renewed relevance. Central bank digital currencies and real-time payment infrastructure enable the creation of a decentralized monetary system in which multiple currencies coexist, forming the backbone of a new global financial system for the digital age. Yet technology cannot replace the need for trust: gold continues to provide the universal credibility that underpins confidence during periods of structural change.

While conventional wisdom that “there is no alternative” to the dollar still holds, the process of de-dollarization was never expected to be abrupt. Global redistribution of monetary influence will almost surely be gradual and cumulative, mirroring the realignment of economic power.

The case for gold—the ultimate neutral reserve asset, trusted by all countries and controlled by none—as a shield against geopolitical and financial shocks remains undeniable. But it is hardly the only reason for embracing the metal. In the face of a huge technological revolution and a global economic reordering, authorities are also seeking to strengthen their monetary sovereignty and end reliance on any single reserve currency.

This structural transformation of the international monetary system is the deeper and more enduring driver of demand for gold, suggesting that strong demand for the metal, which serves as the natural bridge to monetary multipolarity, is here to stay. As Shakespeare’s Cloten rightly observes about gold in Cymbeline: “what can it not do and undo?”

20. America's Naval Disaster

Author: Anne O. Krueger **Published:** Sep 4, 2026 **Link:** View Original

WASHINGTON, DC—At the end of World War II, the US Navy was by far the world's largest. As late as 1975, the United States remained a major shipbuilding power, although its preeminence had already begun to diminish. By the end of the 20th century, however, American shipbuilding was in steep decline, despite government efforts to revive it.

As American shipbuilding declined, China surged ahead. In 2015, its naval fleet roughly matched that of the US. Five years later, it had 350 warships, while the US Navy had 293, down from 583 in 1987. The country now accounts for more than 50% of global shipbuilding by tonnage (commercial and military), with South Korea and Japan producing much of the rest. Chinese shipyards produced 1,700 ships in 2025, compared with just five ships built in the US.

And the outlook is hardly encouraging. China aims to expand its naval fleet to 435 ships by 2030, compared with the US Navy's plan to add 58 by 2031, including 15 "Trump-class" battleships. While the Chinese target is widely viewed as realistic, the American plan is thought to be "far-fetched."

This widening gap has spurred bipartisan efforts to rebuild American shipbuilding. The SHIPS for America Act of 2025 provides industry subsidies and other measures aimed at boosting domestic production, including a Maritime Security Trust Fund of up to $20 billion. In February, the Trump administration followed it with the Maritime Action Plan, an effort to rebuild the maritime industrial base by securing investment pledges from allies like South Korea.

But shipbuilding capacity is only part of the story. The US Navy is also struggling to keep its existing fleet ready for service, with high costs and chronic delays contributing to a 20-year maintenance backlog; some ships are being decommissioned early. Fleet readiness fell to 68% in 2025, well below the Navy's 80% target, pushing deployments beyond the Navy's six-month goal. Deteriorating conditions on the USS Abraham Lincoln, the USS Gerald Ford's 326-day deployment earlier this year, and the recent power outage aboard the USS Benfold are all evidence of that strain.

While the current shipbuilding push may strengthen the industry, it does little to address the underlying causes of its decline. Chief among them is Section 27 of the 1920 Merchant Marine Act, better known as the Jones Act, which requires cargo shipped between American ports to travel on US-registered, American-built vessels owned and crewed by Americans. Repairs performed abroad are subject to a 50% tax.

By protecting American shipbuilders from foreign competition, the Jones Act has made domestic shipbuilding and shipping extremely uncompetitive. Ships cost 4–5 times as much to build in the US as in major shipbuilding countries and 3 times as much to operate as foreign-flagged vessels, largely because of higher labor and material costs.

The results should surprise no one. As of 2025, only 92 ships were Jones Act-eligible to carry goods from one American port to another, with their average age exceeding what is considered safe. With shipping so expensive that moving goods by rail, road, and barge is often cheaper, cargo traffic along the Atlantic and Pacific coasts has fallen by half since 1960.

America's shipping shortage is now so severe that the Trump administration issued a Jones Act waiver for energy and fertilizer shipments in March, then extended it by another 90 days in early August. More jet fuel has been shipped from the Gulf Coast to the West Coast since the waiver was granted than in the previous 36 years combined.

Unlike their US counterparts, major shipyards abroad build both commercial and military vessels, which share many inputs, from steel hulls and engines to propellers. Their workers can gain experience building simpler commercial vessels before moving to more complex military ships. And because government procurement fluctuates with budgets and changing defense needs, shipyards that can shift workers between commercial and military production have a competitive advantage.

Tariffs on imported parts and components are another driver of rising US shipbuilding costs. The US Navy is operating within a fixed budget of $292 billion for fiscal year 2026, including $47.4 billion for shipbuilding, which means that those higher costs must ultimately be paid for through additional taxes or through reductions in fleet size and capability.

Then there are Trump’s expensive whims and bizarre fixations. Despite the Navy’s preference for electromagnetic catapults, which are cheaper, require fewer sailors, and can launch and recover aircraft more quickly, Trump has ordered a return to steam-powered systems. He has also directed the Navy to explore moving the command tower on aircraft carriers to a location he finds more aesthetically pleasing. These changes will cost billions of dollars and add nothing to the Navy’s combat capabilities.

Trump’s “golden fleet” of “Trump-class” nuclear-powered warships promises to be vastly more expensive. Designing the ships could take more than a decade, and the Congressional Budget Office estimates the program’s cost at $275 billion, with the first ship alone costing $23.4 billion. Even if the plan proves infeasible, as many analysts expect, pursuing it would still drain the Navy’s budget.

To reduce the exorbitant cost of its naval vessels, the US will have to turn to foreign competitors. But that alone will not revive American commercial shipbuilding, which cannot recover without repeal of the Jones Act.

Until then, it makes far more sense to procure ships and components from allied shipbuilding powers while continuing to subsidize domestic production where strategically necessary. Using part of the Navy’s budget to buy ships from foreign allies would enable the US to acquire several times as many vessels at a fraction of the cost of building them at home.

21. America's Un-American AI Companies

Author: Yaqiu Wang **Published:** Sep 4, 2026 **Link:** View Original

PHILADELPHIA—In Washington, nearly every serious proposal that could constrain American AI companies runs into the same objection: restrictions would endanger national security and future prosperity by giving China the advantage. As OpenAI CEO Sam Altman put it at a 2025 Senate hearing, the United States needs "sensible regulation" that "does not slow us down."

This formulation has intuitive appeal. No one advocates poorly designed rules that would needlessly weaken US innovation. Yet "don't slow us down" too often becomes a demand for democratic institutions to step aside while a handful of private companies decide how one of the most powerful technologies in history will be built, deployed, and governed.

To be sure, much is at stake in the competition with China. A world in which Beijing dominates AI would be more censored, more surveilled, and inherently hostile to human rights and democracy. But America can prevail by leaning into the strengths of an open society: democratic accountability, the rule of law, robust competition, and free public debate. This is precisely where American AI companies can outcompete their Chinese rivals—not despite democratic oversight, but because of it.

After all, if an AI system is used in a hospital, school, police station, or on the battlefield, people want to know that it is subject to rules, that decisions affecting their lives can be challenged, and that there are meaningful mechanisms for redress when something goes wrong. These features require clear liability rules, transparency, due process for high-stakes automated decisions, and effective enforcement.

While democratic controls may in some cases slow deployment, they can also accelerate adoption by making AI systems more trustworthy. Liability rules can encourage companies to address foreseeable risks before they cause harm; transparency can help researchers identify failures that companies miss or prefer not to disclose; and standards for testing, incident reporting, data protection, and human review can give customers greater certainty while reducing risks to society.

The US won't beat China in a race to the bottom, because China's political system is better equipped for it. It can compel companies and public agencies to pool data across finance, travel, health, policing, and everyday communications, then use that information to control and exploit citizens on a scale no democracy should seek to emulate. It can direct companies to pursue national industrial goals because courts, legislators, and civil society do not constrain the party-state. If America tries to compete by giving its own companies more secrecy, more impunity, or more power over citizens' lives, it has already lost.

Chinese technology companies' own global track record shows further why democratic accountability matters. Huawei has promoted its "safe city" systems as tools for public security, but in some countries, they have raised concerns about political espionage and weak human-rights safeguards. Chinese-backed infrastructure and surveillance projects have also faced concerns about opaque contracts, corruption, and political influence.

That difference matters beyond US borders. People affected by American companies anywhere in the world can draw attention to their cases, seek coverage from the press, and enlist US civil-society organizations to advocate on their behalf. Similarly, foreign businesses can seek redress through US courts, regulators, and independent mediation channels. None of these independent avenues exist in China to challenge companies acting with the party-state's support.

American AI companies should learn from the recent history of social media. Major platforms spent years resisting regulation as their business models degraded democratic discourse, spread disinformation, undermined privacy, addicted children, and concentrated enormous power. Yet despite growing public frustration, these companies avoided a decisive political reckoning because much of the harm was diffuse and cumulative, making it hard to say why one company bore more responsibility than another.

AI companies will have much less room to hide. When an AI system screens someone out of a job, denies a benefit or a loan, gives harmful advice, or produces a false facial-recognition match, the consequences are immediate, measurable, and often traceable to a specific product and company. That clear line of responsibility makes a backlash more likely and harder to deflect. Americans are already wary of AI, with a recent Pew Research Center survey finding that 52% are more concerned than excited about the technology's growing role in daily life, up from 37% in 2021; only 9% are more excited than concerned.

Nonetheless, AI companies appear to be following in social media's footsteps. Rather than become more transparent, they are seeking privileged access to a small circle of officials and negotiating policies behind closed doors. Rather than defend open competition, they are racing to control computing power, data, and distribution channels before rivals can catch up, blurring the line between first-mover advantage and monopolistic or oligopolistic behavior. And rather than trust democratic processes, their executives and investors are now spending heavily to defeat politicians who might regulate them. Despite proclaiming that they stand for democratic AI against China's autocratic model, they seem increasingly willing to bargain directly with political leaders rather than submit to rules established through open institutions.

By seeking privileged access, suppressing competition, and purchasing influence to avoid accepting democratic constraints, the industry is making itself both unpopular and politically dependent. That means it could win deregulation today only to discover that it has surrendered its autonomy to whichever administration controls access to energy, chips, government contracts, export licenses, and antitrust enforcement tomorrow. An administration that can decide which companies receive those benefits can also punish those that fall out of favor.

Companies that resist ordinary democratic oversight risk inviting unpredictability: direct political control by the government of the day. Democratic accountability, the rule of law, and open competition are not costs to be avoided in the name of "winning." They are what will make American AI more trusted, more resilient, and ultimately stronger than China's offerings. American AI companies' time to choose wisely is running out.

22. How Developing Countries Can Do More With Less

Author: Takunda Chirau **Published:** Sep 4, 2026 **Link:** View Original

JOHANNESBURG—As donor governments slash aid budgets, and multilateral institutions come under increasing financial strain, development organizations must confront the combination of growing need and declining resources. How to address persistent challenges such as poverty and inequality, climate change, and humanitarian crises with fewer resources is an especially urgent question in Africa, where many countries have long relied on external financing to support essential programs and services.

The answer lies in how development is monitored and evaluated, often framed as a neutral, technical exercise measuring whether projects have achieved their objectives. In fact, evaluation is deeply political: it reflects what is seen as important and whose knowledge is trusted, and it influences which programs continue to receive funding. Thus, evaluation determines how resources are allocated and whose solutions are supported and expanded.

More significantly, the standards by which development projects are assessed are important not only for deciding where to channel limited resources, but also for shaping the future of global development governance. The African Union and its member states have long called for reforms to the international development and financial architecture, advocating greater representation, more equitable financing, and a stronger voice for Africa in global decision-making. But these reforms, while important, often overlook another powerful driver of change: control over knowledge and evidence.

To date, evaluation frameworks have largely been influenced by donor priorities, with the aim of tracking and comparing results across contexts. As a result, they often fail to capture the realities within communities and rarely reflect local values. When funders define success, the communities most affected by development programs are treated as sources of data rather than partners in deciding what constitutes meaningful change and how to measure it. As argued in the volume Equitable Evaluation: Voices from the Global South (which two of us co-edited), donors' expectations and desired outputs take precedence over those of local communities.

With fewer resources now available, and their allocation increasingly dependent on evidence demonstrating impact, there is no better time to implement equitable evaluation practices, which challenge the idea that development can be understood through universal indicators alone. This methodological innovation is grounded in the belief that evidence is shaped by history, context, culture, and power, and that these factors must be considered if evaluation is to advance equity.

African countries and communities, in particular, could adopt Made in Africa Evaluation approaches, which seek to assess development projects according to African realities, values, and priorities. That means recognizing Indigenous knowledge, local institutions, and community experiences as important sources of evidence, while emphasizing that evaluation should reflect the social, cultural, and political contexts in which development takes place. Such a shift ultimately reshapes who holds authority over knowledge itself.

Community participation forces governments to be accountable to citizens, not just funders. For example, when rural health committees monitor clinic performance using community-designed scorecards rather than relying on donor audits, facility managers can identify and respond more quickly to drug shortages, long wait times, or service gaps, while health authorities gain access to locally generated evidence.

Similarly, when farmers help assess irrigation projects, evaluations have revealed practical constraints—such as unreliable water supplies, inadequate maintenance, and inequitable land distribution—that may be overlooked by externally designed indicators. These data can also inform national priorities, resulting in more responsive and efficient development spending. And if regional institutions build their own evaluation capacities, countries will become less dependent on frameworks that may not reflect their development goals.

As such examples show, giving African countries a greater say in international institutions is not enough to reform global development governance. Structural transformation requires giving them a greater role in the collection, interpretation, and use of data and evidence. Without significant changes to evaluation and the resulting knowledge production, calls to “decolonize development” will continue to ring hollow.

The current aid landscape underscores the urgency of this task. The scaling down of foreign assistance should not mean abandoning commitments to equity. Governments, donors, and development organizations should instead work even harder to direct the remaining funds to those who have historically been excluded. This requires evaluation systems capable of revealing inequalities rather than masking them behind national averages and aggregate performance indicators.

It is unclear whether the era of abundant foreign aid is ending or experiencing a temporary crisis. Either way, this moment has created an opening to rethink development cooperation and foster more trust in how these resources are used. In Africa, that can be achieved by ensuring that evaluation practices capture communities’ lived realities and allow success to be defined collaboratively rather than imposed externally.